

STOCK TAKING A state-run liquor shop reopens in Delhi, Aug. 31, 2022

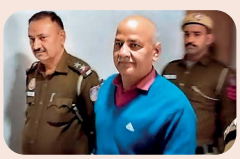


the AAP regime of providing undue benefits to liquor vend licensees, causing "financial losses to the exchequer" of over Rs 580 crore. It also details alleged procedural lapses in the new excise policy

- The Economic Offences Wing of the Delhi Police takes over probe of alleged cartelisation and monopolies in liquor trade; L-G Saxena recommends a CBI investigation
- Kejriwal government reverts to the old excise policy. A Jul. 31 cabinet note admits monthly revenue loss of over Rs 193 crore
- On Aug. 17, 2022, the CBI files FIR naming Sisodia, 14 others. Days later, the ED files a money-laundering case
- The ED alleges that the AAP regime hiked the profit margin for wholesalers to 12 per cent in lieu of a 6 per cent kickback, causing a loss of Rs 2,873 crore to Delhi government. AAP media head Vijay Nair, on behalf of the party, allegedly took Rs 100 crore in advance from a 'South group', which included YSR Congress MP from Andhra Pradesh M. Srinivasulu Reddy, his son M. Raghava Reddy, P. Sarath Chandra Reddy of Aurobindo Pharma and **K. Kavitha**, daughter of ex-Telangana CM K. Chandrasekhar Rao. Hyderabad-based businessmen Arun R. Pillai, Abhishek Boinpally and chartered accountant Butchibabu Gorantla allegedly acted as a front for



the 'South Group'. Group partners were allegedly given 65 per cent stake in IndoSpirits, a liquor distribution firm in Delhi, in collusion with its MD Sameer Mahendru. The ED claims it has a video call recording featuring Kejriwal telling Mahendru to trust "his boy" Vijay Nair.
- The South Group was allotted 9 zones out of 32 in Delhi. Brindco Spirits owner Amandeep Dhall and Benoy Babu, senior executive of Pernod Ricard, involved in the 'scam', alleges the ED
- ED/CBI arrest several people, including Vijay Nair, Sisodia, AAP Rajya Sabha MP Sanjay Singh, Kavitha and Kejriwal
- The ED claims Kejriwal is "kingpin and key conspirator of the Delhi excise scam". Crime proceeds were over Rs 600 crore, the ED says in court. Around Rs 45 crore from the South group allegedly used by AAP in the Goa election, and Rs 70 lakh cash payments made to the survey team volunteers
- Both **Manish Sisodia** and Sanjay Singh yet to get bail. In Oct. 2023, the SC dismisses Sisodia's plea saying



there was "material and evidence" that "tentatively" supported one charge, that 14 wholesale liquor distributors earned excess profit of Rs 338 crore
- Sarath Reddy, Raghav Magunt and Delhi-based restaurateur Dinesh Arora, known to be close to Sisodia and Sanjay Singh, turn approver. Dinesh allegedly facilitated bribes from Gurugram-based businessman Amit Arora to Sisodia to make changes in the excise policy

the potential to emerge as a strong alterative to the BJP and Congress. Besides being a disruptive political force, the Delhi CM has always embraced a pragmatic narrative, unburdened by ideological leanings and catering to the larger public mood. So, if he has supported the abrogation of Article 370, construction of the Ram temple in Ayodhya and the Uniform Civil Code, he opposed the Citizenship (Amendment) Act, 2019. Kejriwal's national ambitions are reflected in AAP's expansion plans too. The party formed a government in Punjab, and contested polls in Goa, Uttarakhand, Himachal Pradesh and Gujarat, though with scant success. The victory in two seats and a 12 per cent vote share in Modi's home state Gujarat in 2022 earned AAP the status of a national party.

In private, the BJP acknowledges Kejriwal's challenge, and hence the need to corner him. Since 2014, with the Lieutenant Governor as their frontman, the saffron party has been waging a bitter turf war in Delhi. The Bhagwant Mann-led AAP government in Punjab has also complained of unconstitutional interference by the governor, forcing even the Supreme Court to intervene. In Delhi last year, when the apex court asserted the state government's supremacy over the administrative services, the Modi government responded by amending the law and restoring control over the bureaucracy to the Centre.

And now there is also a possibility that President's rule may be imposed in Delhi as Kejriwal is unlikely to resign and has vowed to function from jail. There is no precedent of a government being run from jail and Article 239AB of the Constitution says the President, upon being satisfied that a situation has arisen in which the administration cannot be carried out, may suspend the operation of any provision of Article 239AA, which deals with the governance structure of Delhi.

More importantly, as Kejriwal has been arrested under PMLA, it may be